2.5.4 Treatment of revenue receipts

(a) Treatment of subscription in the final accounts of not–for–profit organisation

(A) Treatment in Income and Expenditure Account

When subscription received for the current year, previous years and subsequent period are given separately, subscription received for the current year will be shown on the credit side of Income and Expenditure Account after making the adjustments given below:

(i) Subscription outstanding for the current year is to be added.

(ii) Subscription received in advance in the previous year which is meant for the current year, is to be added.

When total subscription received during the current year is given, that total subscriptions received during the current year will be shown on the credit side of Income and Expenditure Account after making the following adjustments:

(i) Subscription outstanding in the previous year which is received in the current year will be subtracted. Subscription outstanding for the current year is added.

(ii) Subscriptions received in advance in the previous year which is meant for the current year, is added and subscriptions received in advance in the current year which is meant for the subsequent year must be subtracted.

(B) Treatment in Balance Sheet

(i) Subscriptions outstanding for the current year and still outstanding for the previous year will be shown on the assets side of the balance sheet.

(ii) Subscriptions received in advance in the current year will be shown on the liabilities side of the balance sheet.

Dr. **Income and Expenditure Account for the year ended…** **Cr.**

Expenditure	₹	Income	₹	₹
		By Subscription	xxx	
		Less: Subscription for the previous year	xxx	
			xxx	
		Less: Subscription for the subsequent year	xxx	
			xxx	
		Add: Outstanding subscription for the current year	xxx	
			xxx	
		Add: Received in advance during the previous year for the current year	xxx	xxx

12th-Accountancy-Unit-02.indd 53 1/4/2020 11:59:48 AM